At Full Throttle: R$913mn Land Acquisition Unveiled

Ticker: SLCE3 BZ | **Target Price:** 22.00 (BRL) | **Rating:** NEUTRAL

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SLC to acquire 27.2k arable hectares from Agrícola Xingu for R$33.5k/ha

SLC announced on Friday (March 14), after the market closed, the execution of a private land purchase agreement with Agrícola Xingu, acquiring a total of 47.8k hectares (**27.2k arable hectares**) across two properties, which were mostly already leased by SLC. The total transaction value is **R$913mn**, structured as follows:

- **Fazenda Paladino (Bahia):**
  - Total value of R$723mn to be paid in two installments: (i) R$361.5mn at contract signing; and (ii) R$361.5mn in March 2026.
  - Total area of 40k ha out of which 22k are arable, implying a transaction value of R$32.9k/arable ha.
- **Fazenda Pamplona (Minas Gerais)**
  - Total value of R$190mn to be paid in two installments: (i) R$95mn at contract signing; and (ii) R$95mn after precedent conditions are met.
  - Total area of 7.8k ha, out of which only 502 ha were not previously operated by SLC. The arable area is 5.2k ha, implying a transaction value of R$36.2k/arable ha.

Existing infrastructure, including silos, warehouses, administrative headquarters and a total of 648 ha of irrigated farmland are also included in the transaction value.

Our take: Land acquisitions are not the core of SLC's growth story, and neither is it what we appreciate the most given how the asset-light leasing model allows for higher returns. But given that there is an optimal balance of ~2/3 leased and ~1/3 owned lands that the company pursues, and that this was achieved after the recent Sierentz Agro deal (link), acquiring farmlands would eventually be necessary for more asset-light growth to be unlocked.

If land acquisitions will have to take place, it is better if they occur below market prices, which we see as the main merit of the announced Xingu acquisition. Including the farms' infrastructure, the R$32.9k and R$36.2k SLC is paying per arable hectare in Paladino (BA) and Pamplona (MG) farms are 43% and 37% below SLC's portfolio average, and the latter is arguably at an even steeper discount for farmlands in the region. Owning the land could also unlock additional investments on irrigation, thus expanding 2nd crop areas, yields, and future farmland appraisals.

Still, even at attractive prices, land acquisitions are very long term investments in nature. Since SLC has not been willing to divest from farms, and it already operates most of Xingu's areas, the immediate benefit for the company will be in the form of lower leasing expenses. Assuming an average leasing cost of ~13 soybean bags/arable hectare for these farms, and soybean prices at ~R$120/bag, the reduction in leasing expenses adds up to R$42mn/year, which makes for a long payback on the R$913mn total investment even as soybean prices may recover from here, and yields and potential 2nd crop areas should grow over the years.

After SLC counter-cyclically expanded its operations at the bottom of the cycle, we expect growth to slow down. Given the **relevant investments that were announced (R$2bn over the past six months), the carryover story should be partially jeopardized for now**, at the benefit of a stronger long-term potential for the business. Still, with a lackluster environment for soybean and cotton prices, we continue to see near term triggers as limited. We keep our **Neutral rating** on SLC.

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